

Procure Space ETF

SPCX NASDAQ

Hold	\$114.05 ▼ 3.55%	12M Price Target \$130.00	52-Week Range \$110.85 – \$225.64	Market Cap \$1.50T
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SPCX: Space ETF Slides on Starship Jitters, Musk Merger Noise

WHAT HAPPENED

- SPCX dropped 3.55% on very light volume (~9.6M vs 70M+ recent days) — the thin volume tells you this isn't panic selling, it's just buyers stepping aside ahead of tonight's Starship test. SpaceX is the elephant in this ETF's portfolio, so any launch-day nerves ripple straight through.
- Two SpaceX-specific overhangs hit at once: HSBC opened coverage at Hold citing "execution risks," and Musk publicly said a Tesla–SpaceX merger "has to be a process" — which is Musk-speak for "don't hold your breath," disappointing anyone hoping for a quick liquidity event.

WHY IT MATTERS

Here's the thing to understand about SPCX — it's an ETF (basket of ~30 space stocks), but SpaceX-related exposure and sentiment drive it disproportionately. Tonight's Starship test is a binary event: a clean flight and this thing likely gaps up 4-6% tomorrow; a failure and you're looking at another leg down toward that \$110 52-week low. The options flow is telling you smart money is positioned bullishly (Put/Call at 0.62 with unusual call buying at \$105), which suggests traders think the selloff is overdone into the test. Bigger picture: the stock is sitting at just 3% of its 52-week range — meaning it's basically at the bottom of where it's traded all year — and that's usually where risk/reward flips in your favor if the fundamental story (commercial space, defense space, satellite broadband) is still intact.

POLICY & POLITICAL WATCH

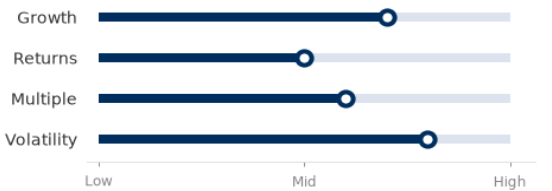
The FY2027 defense budget is the single biggest policy variable here — the Space Force is slated for its largest funding increase yet (roughly \$40B proposed), and the Golden Dome missile defense initiative directly funnels dollars to launch providers and satellite manufacturers that SPCX holds (Rocket Lab, Planet Labs, Iridium). Also watch the FCC's ongoing spectrum allocation fights for satellite broadband — favorable rulings for Starlink/Kuiper-class LEO constellations expand the addressable market for everyone in this basket. Headwind risk: any China tariff escalation on rare earth magnets (used in satellite components) hits margins across the sector, and Congress has been noisy about export controls on commercial space tech.

IS IT EXPENSIVE?

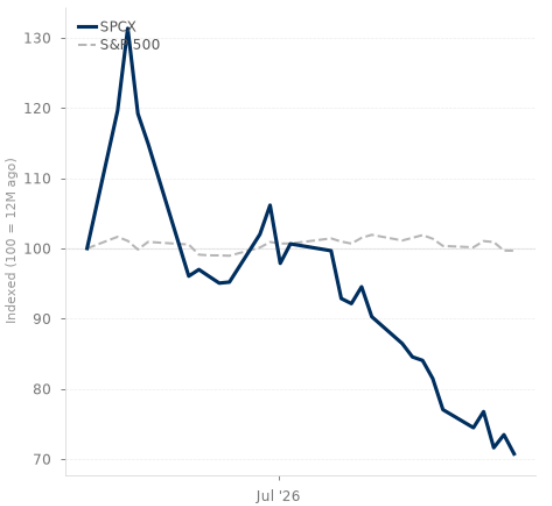
Key Data

Price (USD)	\$114.05
12M Price Target	\$130.00
Upside / (Downside)	+14.0%
Market Cap	\$1.50T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$118.00	\$108.00
6 Months	\$145.00	\$130.00	\$105.00
1 Year	\$165.00	\$135.00	\$100.00
2 Years	\$200.00	\$155.00	\$95.00
5 Years	\$300.00	\$220.00	\$110.00
10 Years	\$500.00	\$340.00	\$130.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) and Energy (+0.96%) — rate-cut expectations helping REITs, and geopolitical tension supporting energy. Industrials also quietly strong (+1.81% over 5D), which is a subtle positive for space/aerospace names.

COOLING OFF: Comm Services (-3.8% over 5D) — mega-cap tech is taking a breather, and that risk-off tone in growth is spilling into speculative growth pockets like space.

ROTATION WATCH: Money is rotating out of high-multiple growth and into defensives/real assets — that's a headwind for SPCX short-term, but the Industrials strength suggests the "hard tech" trade is holding up better than pure software growth.

RELATED PLAY: If you want space exposure without the Starship binary risk, look at ITA (defense ETF) — same government spending tailwind, less single-launch drama. Also Rocket Lab (RKLB) directly if you want the highest-beta pure-play.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning share as SpaceX turns away Falcon 9 customers — the news that SpaceX is capacity-constrained is a direct gift to the #2 launcher.
- IRDM (Iridium): Steady defense contracts and satellite services revenue, less tied to launch cadence drama.

SPCX CONTEXT: SPCX is lagging its individual holdings today because SpaceX-related sentiment is dragging the whole basket, but ironically the news that SpaceX is turning customers away is bullish for competitors inside the ETF. That's the setup for a mean-reversion trade if you believe the basket is stronger than the SpaceX narrative suggests.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$110-113 near 52-week lows

Time Horizon: 12-24 months

Thesis Invalidation: Starship program failure or major cut to Space Force / NASA budget

Hedging: Pair with a defense ETF (ITA) to smooth out single-name space risk